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2017 ARTICLE IV CONSULTATION AND FIRST REVIEW UNDER AND EXTENSION OF THE STAFF-MONITORED PROGRAM WITH THE GAMBIA—DEBT SUSTAINABILITY ANALYSIS[1]

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An updated debt sustainability analysis (DSA) indicates that The Gambia is currently at high risk of external debt distress. Both external and domestic debt are very high, and a significant pipeline of already-contracted loans poses risks to solvency. While external debt stock indicators have deteriorated since the June 2017 DSA, and all five external debt burden indicators breach their indicative thresholds in the baseline, the external debt service indicators have improved in the near-term, and the level of external concessional financing in place has increased. The outlook for total public debt and public gross financing needs has also improved, the latter significantly. However, vulnerabilities are substantial: the stress test results illustrate the country's high vulnerability to shocks, total public debt is expected to remain elevated throughout the projection period, rollover risks associated with the short maturity of domestic debt are significant, and contingent liabilities related to SOE debt pose additional risks. Space for any new borrowing is very limited, and would need to be on highly concessional terms and reserved for the very highest priority projects for which grant-financing is not available. The government should carefully contain fiscal risks and refrain from contracting any large guarantees that add to an already high level of public and publicly guaranteed debt. The donor conference

[1] The DSA update was prepared by IMF and World Bank staff in collaboration with the authorities of The Gambia. The analysis updates the previous Joint DSA dated June 13, 2018 (IMF Country Report No. 17/179). For the purpose of defining debt burden thresholds under the Debt Sustainability Framework (DSF), The Gambia is classified as a weak policy performer. The Gambia's average rating on the World Bank's Country Policy and Institutional Assessment (CPIA) for the period 2014-16 is 3.00. The corresponding indicative thresholds are: 30 percent for the NPV of debt-to-GDP ratio; 100 percent for the net present value (NPV) of debt-to-exports ratio; 200 percent for NPV of debt-to-revenue ratio; 15 percent for the debt service-to-exports ratio; and 18 percent for the debt service-to-revenue ratio.

planned for later in the year should focus on raising grants to fund the NDP and reduce debt vulnerabilities, and on improving the terms of existing project financing.

BACKGROUND

1. The Gambia's public and publicly guaranteed (PPG) external debt level is high. As of end-2016, external debt had risen to 56.5 percent of GDP (Text Table 1). The creditor base is dominated by multilateral creditors (70 percent), with a significant share owed to so-called 'plurilateral' creditors, most notably the Islamic Development Bank. Non-Paris Club bilaterals (28 percent) are the other major creditor category, with only a small amount owed to members of the Paris Club. Central government domestic debt is also very high (text table 2), and the large share of T bills and short-maturity debt mean that rollover risks are significant.

Text Table 1. The Gambia: Structure of PPG External Public Debt at end-2016

		Percent of	
	$US millions	Total External Debt	GDP
Total	**544.7**	**100.0**	**56.5**
Multilateral creditors	**382.4**	**70.2**	**39.6**
IMF	40.1	7.4	4.2
IDA	53.6	9.8	5.6
AfDB	53.7	9.9	5.6
Other Multilaterals	235.0	43.1	24.4
Of which: Islamic Development Bank	120.4	22.1	12.5
Of which: Arab Bank for Economic Development in Africa	41.9	7.7	4.3
Of which: OPEC Fund for Internation Development	28.7	5.3	3.0
Bilateral Creditors	**162.3**	**29.8**	**16.8**
Paris Club	9.8	1.8	1.0
Non Paris Club	152.5	28.0	15.8
Of which: Kuwait Fund for Arab Economic Development	41.0	7.5	4.3
Of which: Export-Import Bank of India	29.0	5.3	3.0
Of which: Saudi Fund for Development	24.4	4.5	2.5
Other Borrowing	**0.0**	**0.0**	**0.0**

Sources: Gambian authorities; and IMF Staff.

Text Table 2. The Gambia: Structure of Domestic Debt at end-2017

		Percent of	
	GMD millions	Total Domestic Debt	GDP
Total	**28,388**	**100.0**	**60.0**
Marketable debt	**16,402**	**57.8**	**34.7**
T-bills	14,195	50.0	30.0
held by Banks	10,840	38.2	22.9
held by Non Banks	3,354	11.8	7.1
Bonds	2,208	7.8	4.7
held by Banks	1,551	5.5	3.3
held by Non Banks	657	2.3	1.4
Non-marketable debt	**11,986**	**42.2**	**25.3**
CBG Bond (30-Year)	10,420	36.7	22.0
Restructured NAWEC bond	1,566	5.5	3.3

Sources: Gambian authorities; and IMF Staff.

2. External debt accumulation was rapid in 2017. The latest data suggest that external indebtedness at end-2017 will be about US$111 million (11 percent of GDP) higher than projected in June 2017, reflecting a revision to the 2016 debt stock following a reconciliation exercise with external creditors (4 percent of GDP), and a rapid ramp-up of project execution in the last year (7.1 percent of GDP).

3. There is a large pipeline of previously contracted debt (Text Table 3), and accelerated project execution will push up further on debt accumulation in the near-term (Figure 1). The Gambia has a pipeline of almost $350 million in undisbursed amounts on existing (more than half of which are concessional) loan facilities contracted prior to the RCF/SMP in 2017, the vast majority of which were signed under the previous regime. The authorities expect high project execution to continue in 2018 and 2019, with US$136 million (12.2 percent of GDP) forecast to disburse over this period. Cumulatively, project loan disbursements are expected to be 10 percent of GDP higher over 2018-23 than in the June 2017 DSA. Given the risks posed by this large pipeline, a careful review of the existing project portfolio is appropriate, and mechanisms to avoid cost-over-runs should be put in place. However, these higher near-term project disbursements are expected to be offset by lower budget support borrowing requirements (by 14.4 percent of GDP) over that period, and by lower project disbursements beyond 2023.

Text Table 3. The Gambia: Pipeline of Already-contracted Debt

	Disbursement Pipeline (USD mn)	
	Total undisbursed at end-2017[1]	Projected disbursements for 2018-19
IDA	50.9	6.0
AfDB	12.8	3.6
Other multilaterals	142.3	77.7
Non-Paris Club Bilateral	144.1	48.8
Total	350.0	136.1

Sources Gambian authorities and IMF Staff.

[1] Based on end-2016 undisbursed, and estimated 2017 disbursements

4. There has been a step-up in donor support since the summer, and The Gambia has opened discussions with its external creditors regarding a potential debt restructuring. Subsequent to the issuance of the June 2017 DSA, staff were informed of commitments of additional support from Multilateral Development Banks, and received assurances of highly concessional support from some of The Gambia's major official bilateral creditors. Pledged grant commitments over the period 2018-20 are already significant, and a donor conference planned for later in 2018 will provide an opportunity to mobilize further grants to fund the authorities' recently launched National Development Plan, and to seek improved financing terms on existing projects to help foster debt sustainability. Saudi

Arabia signed an agreement to restructure The Gambia's loans in January 2018,[2] and discussions with other bilateral creditors regarding a possible debt restructuring are also ongoing, with the Paris Club secretariat offering to play a coordinating role.

5. The economy has begun to recover following the sharp growth slowdown in 2016, and the political situation has stabilized. For 2017 overall, a recovery has been under way and economic growth is projected at 3.5 percent. While the agricultural season may turn out not as good as initially hoped for, tourism bookings for the ongoing high season are strong. Port congestion as well as other anecdotal evidence indicate a strong rebound in trade supported by much improved foreign exchange supply and relations with Senegal, and there is keen interest from foreign direct investors in energy, tourism, agriculture and transportation. Headline inflation has declined from 8.8 percent in January 2017 to 6.4 percent in January 2018, the Dalasi has stabilized and gross international reserves increased to 2.9 months of import cover at end-2017.

6. Conditions in the domestic debt market have improved markedly. Average T-bill rates have fallen sharply, from 17.5 percent in October 2016 to around 6 percent in early 2018, as increased donor support, fiscal consolidation and a pick-up in revenues helped the government to drastically reduce domestic borrowing. With market conditions more favorable, the authorities issued 3 and 5-year bonds for the first time, an important step in their strategy to extend domestic maturities. Restructuring of the government-guaranteed domestic NAWEC bond was completed, and the central government has now fully assumed the servicing of the restructured instrument.

7. Debt management, monitoring and recording capacity is low. Developing the capacity to project disbursements more reliably and conduct timely and accurate debt recording will be critical if The Gambia is to successfully manage its debt vulnerabilities going forward. An IMF-World Bank TA mission in 2017 provided the authorities with assistance in developing a medium-term debt strategy consistent with sustainability, and implementation and regular review of this strategy will be important to contain risks. Building on this, US AID will also be providing broader TA in this area based on an assessment of the current regulatory framework, institutional framework, strategies, policies and processes, and staff capacity related to debt management. The authorities have also requested World Bank TA to assist them in formulating a Debt Management Reform Plan, which will be undertaken in May 2018.

DEBT COVERAGE

8. The updated DSA includes all public and publicly guaranteed external debt. SOEs domestic and unguaranteed external debts are not included in the baseline DSA, except where they are already serviced by the government (the NAWEC bond). However, deficiencies remain in the government's information on the extent and terms of SOE debts, including non-guaranteed external debts, a situation which may be remedied by the planned special audits of SOEs. A tailored contingent

[2] The restructuring provides an NPV haircut of 10 percent, and amounts to a rescheduling of principal payments falling due in 2018-21, at an average maturity of 15 years and at a grant element of 40 percent.

liability shock in the public DSA assumes that responsibility for servicing the entire known stock of SOE debt, estimated at 11 percent of GDP (lower than in June 2017, following the inclusion of the NAWEC bond in central government debt).

BASELINE ASSUMPTIONS

9. The assumptions underpinning the DSA are those of the baseline scenario of the Staff Report (Text Table 4):

- Real GDP growth is estimated at 2.2 percent in 2016 and 3.5 percent in 2017, reflecting weak agricultural output, foreign exchange scarcity and the impact of the political turmoil on tourism early in the year. Growth is expected to accelerate next year (Text Table 4), driven by the lagged effect of the pick-up in public investment in 2017, and by increased domestic activity associated with these investment projects[3], greater credit availability along with lower nominal and real interest rates as public borrowing declines, growing FDI and the rebound in tourism and trade.As public investment falls back, longer-term growth is expected to stabilize at 4.8 percent, in line with the June 2017 DSA.

- The substantial fall in domestic interest rates in 2017 is reflected in 2017, but over the projection period domestic real rates rise slightly to an average of 2 percent.

- The current account deficit is expected to widen in the medium term, reflecting the high import content of public investment, while the fiscal outlook has improved somewhat, thanks in large part to the projected increase in budget support grants.

- Pledges for increased budget support grants (Text Table 5) have been reflected in the period 2017-20. As in the June 2017 DSA, concessional loan-financed budget support (with a grant element of 35 percent) is assumed to be available to plug any remaining financing gaps. Project grant commitments in the near-term have also increased, but total grants are expected to fall back to 4 percent of GDP by 2022, and more gradually thereafter.

- Disbursements on the substantial pipeline of existing project loans are incorporated, based on the contractual terms; an average grant element of 54 percent from major multilaterals, 29 percent from plurilaterals, and 38 percent from bilateral creditors. There are no disbursements on *new* external project loans in 2018-25. From 2026 onwards, disbursements on new project loans, with an assumed grant element of 35 percent, increase gradually to around2 percent of GDP.

[3] The public investment-realism tool developed in "IMF, Review of the Debt Sustainability Framework for Low Income Countries" (October, 2017) would imply a mechanical impact of the higher public investment profile of 2.7 percent by 2023, and 3 percent by 2030.

Text Table 4: Selected Macroeconomic Indicators

	2015	2016	2017	2018	2019	2020	2021	2022	2023	15-year average[1]
Real GDP Growth (percent)										
Current DSA: baseline	4.3	2.2	3.5	5.4	5.2	4.9	4.8	4.8	4.8	4.8
Current DSA: upside	4.3	2.2	3.0	5.7	7.0	7.5	7.4	7.1	6.7	5.6
Previous DSA[2]	4.3	2.2	3.0	3.5	4.0	4.5	4.8	4.8	4.8	4.8
CA deficit (percent of GDP)[3]										
Current DSA: baseline	15.0	8.9	14.3	18.4	16.9	14.4	13.2	14.1	13.6	15.2
Current DSA: upside	15.0	8.9	16.0	21.2	22.4	20.9	19.2	19.4	18.3	16.6
Previous DSA	15.0	8.9	9.4	12.0	13.0	13.4	13.1	12.0	8.0	8.0
Exports of goods and services growth (percent)[4]										
Current DSA: baseline	-9.5	5.0	-6.0	16.9	9.3	9.0	8.2	8.0	6.5	6.5
Current DSA: upside	-9.5	5.0	-6.0	16.2	11.4	12.7	10.8	10.7	11.5	7.7
Previous DSA	-9.5	5.0	-6.0	13.3	8.8	9.3	8.1	8.6	10.2	7.2
Imports of goods and services growth (percent)[4]										
Current DSA: baseline	11.3	-10.2	23.2	20.5	3.2	0.9	4.0	4.4	6.1	6.2
Current DSA: upside	11.3	-10.2	27.2	22.1	10.3	6.0	5.6	5.7	7.6	6.3
Previous DSA	-9.9	10.3	10.9	10.1	8.5	9.5	10.5	11.5	12.5	6.5
Public investment (percent of GDP)										
Current DSA: baseline	6.2	6.4	14.8	17.0	13.3	10.0	8.6	8.3	8.0	7.8
Current DSA: upside	6.2	6.4	16.7	17.4	17.9	17.3	16.8	16.4	14.8	9.1
Previous DSA	6.2	6.4	6.5	7.2	6.9	6.9	6.6	6.5	6.8	6.0
Overall fiscal deficit[5]										
Current DSA: baseline	8.1	9.8	3.9	0.8	1.7	1.2	-0.3	0.6	0.0	-0.3
Current DSA: upside	8.1	9.8	6.0	-1.0	2.1	1.6	1.2	1.8	2.8	0.2
Previous DSA	8.1	9.8	2.6	3.6	3.0	2.7	1.7	1.1	0.9	2.8

[1] Defined as the simple average of the last 15 years of the projection (2023-37).
[2] June 2017 (Debt Sustainability Analysis)
[3] Includes worker's remittances
[4] In current dollar terms, including re-exports.
[5] Includes re-exports and grants.

Text Table 5: Baseline external financing assumptions

(Percent of GDP)

	2018	2019	2020	2021	2022	2023	2024-30	2031-37
Budget Support loans[1]	0.0	0.0	0.1	0.3	0.3	0.3	0.1	0.0
Project loans	7.1	5.1	3.5	2.9	2.6	2.4	1.2	1.7
Already-signed	*7.1*	*5.1*	*3.5*	*2.9*	*2.6*	*2.4*	*0.6*	*0.0*
New Projects	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.6*	*1.7*
Total loans	**7.1**	**5.1**	**3.6**	**3.2**	**3.0**	**2.7**	**1.3**	**1.7**
Budget Support grants	5.2	4.3	3.6	3.7	1.9	1.8	1.7	1.5
Pledged	*5.2*	*4.3*	*3.2*	*2.3*	*0.0*	*0.0*	*0.0*	*0.0*
Unpledged	*0.0*	*0.0*	*0.4*	*1.4*	*1.9*	*1.8*	*1.7*	*1.5*
Project grants	*8.0*	*5.7*	*3.3*	*2.6*	*2.4*	*2.4*	*2.1*	*1.8*
Already-signed	*3.1*	*1.2*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
Pledged	*4.8*	*4.5*	*2.4*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
Unpledged	*0.0*	*0.0*	*0.8*	*2.6*	*2.4*	*2.4*	*2.1*	*1.8*
Total grants	**13.2**	**10.0**	**6.9**	**6.2**	**4.3**	**4.2**	**3.8**	**3.3**
memo: June 2017 DSA Budget Support loans [1]	*3.6*	*3.7*	*3.6*	*2.8*	*2.0*	*1.2*	*1.1*	*1.1*
memo: June 2017 DSA Project loans	*3.5*	*2.7*	*2.3*	*1.6*	*1.5*	*2.0*	*1.7*	*1.8*
memo: June 2017 DSA Budget Support grants	*3.8*	*3.1*	*2.4*	*1.9*	*1.5*	*1.5*	*1.0*	*0.6*
memo: June 2017 DSA Project grants	*1.7*	*1.7*	*1.7*	*1.7*	*1.7*	*1.5*	*1.1*	*0.6*

Source: Gambian authorities, World Bank, AfDB, EU, and IMF calculations
[1] Determined by government's remaining financing gap

ALTERNATIVE SCENARIO

10. Given The Gambia's significant development needs, recently launched National Development Plan, and an upcoming donor conference, we also examine an alternative scenario featuring higher levels of external support. Any further scaling-up of investment will need to be accompanied by a careful strategy to contain and significantly reduce existing debt vulnerabilities. This scenario features official bilateral debt restructuring, an improvement in the terms of the existing project pipeline, and increased project grants consistent with the total envelope for the authorities' NDP. The key elements of the scenario, include:

- All existing bilateral debts are rescheduled, based on the terms agreed by Saudi Arabia in January 2018: a rescheduling of amounts falling due over the next four years at a 15 year maturity and with a grant element of 40 percent. Although this rescheduling only has a modest impact (2 percent of GDP) on the PV of external debt, it creates space to retire expensive domestic debt over the next four years, reducing the government's debt service burden going forward.

- For loans in the existing pipeline with a grant element of less than 50 percent, it is assumed that all bilateral and plurilateral creditors agree to adjust the terms to increase the average grant element to 50 percent.[4]

- High levels of government investment persist for much longer than in the baseline scenario, with the public investment rate remaining close to 15 percent of GDP until 2024, and remaining above baseline levels throughout. Total new external project support (in addition to the existing pipeline) reaches $1.8 billion over the period 2018-32, consistent with the overall envelope for the authorities' latest national development plan, although spread over a much longer period, reflecting implementation and absorption constraints.

- Higher investment generates positive impacts on GDP growth, with spillovers to trade and inward investment. GDP growth accelerates to 6 percent in 2020 before falling back gradually to a higher trend of 5.3 percent. Imports surge in the near-term, reflecting the direct impact of higher government investment, but further out, exports, imports, and inward FDI are all boosted by improved infrastructure and the stronger economy.

[4] This could be achieved at the international donor conference, through a combination of reducing interest rates, extending maturity and grace periods, and substituting grants for loans. If such a softening in terms cannot be achieved, then the authorities' may need to seek to delay the implementation of these existing projects to make room for any higher priority projects.

- External investment financing is assumed to be drawn entirely in the form of grants. Space for any new borrowing is very limited, and would need to be on highly concessional terms and reserved for the very highest priority projects for which grant-financing is not available. Space for any other borrowing during this period (even on highly concessional terms) would need to be created by either softening the terms on or delaying (or cancelling) existing project loans.

DSA RESULTS

11. While external debt stock indicators have deteriorated further since the June 2017 DSA, and all five external debt burden ratios breach their indicative thresholds in the baseline scenario, the external debt service indicators have improved in the near-term (Figure 1). The PV of PPG external debt-to-GDP increased to 46 percent in 2017, 8 percent higher than projected in the June 2017 DSA, and 16 percent above the threshold. The PV of debt-to-exports and PV of debt-to-revenue also show large breaches (113 percent, and 34 percent, respectively), and while all three solvency indicators are on a downward path, the PV of debt-to-GDP and PV of debt-to-exports remain above threshold levels until 2026 and 2027, respectively. Initial breaches for the debt service indicators are smaller and both indicators fall below the thresholds in 2021, although there is a further small breach (by 0.6 percent) of the debt service-to-revenue threshold in 2025.

12. Increased donor support, and the normalization of domestic financing conditions, has eliminated near-term external financing gaps and should allow the authorities to meet debt service obligations in the next few years. In the absence of further shocks, the high level of grant support already committed by development partners, including the World Bank, African Development Bank and EU, should allow the authorities to service their debts in the next few years. In the updated baseline, the government is expected to begin paying down domestic debt in 2018, and the significant external financing gaps in the first few years of the June 2017 DSA (which were assumed to be filled by external bilateral financing) have been eliminated. Lower domestic interest rates have reduced the burden of domestic debt, and the continuation of the government's strategy to extend the maturity of domestic debt should mitigate rollover risks.

13. The stress test results underscore The Gambia's high vulnerability to external shocks (Figure 2). All five indicators show very large breaches under the stress tests, and remain above threshold levels for most (or all) of the projection period. The shock with the biggest effect across all five indicators is the combination shock, reflecting The Gambia's multiple sources of vulnerability, and the frequent occurrence of large shocks in recent years.

14. While the shift to greater reliance on grant financing from development partners is appropriate, debt sustainability would be brought back into question if these grants did not materialize. The substantial grants pledged by development partners in the early years of projection will be conditional on strong policy implementation by the authorities, and while grants are assumed to fall back in the later years, the Gambia will remain reliant on both budget support and project

grants to fund development well-beyond the horizon for which assurances have so-far been received.

15. The Public DSA underscores vulnerabilities arising from the high level and short maturity of domestic debt (Figure 3), but the outlook for public debt and public gross financing needs has improved since the June 2017 DSA., the latter significantly. While the PV of total public debt increased further in 2017 (Figure 1), higher grant inflows, the recovery of the economy and improved conditions in the domestic debt market are expected to result in a faster debt reduction than in the June 2017 DSA, though public debt is still expected to remain above the benchmark until 2027. These developments, coupled with the authorities' efforts to extend domestic maturities, have resulted in a significantly improved outlook for public gross financing needs (Figure 1), although debt service remains high in absolute terms. Furthermore, risks from the contingent liabilities of SOEs remain substantial, and their materialization would result in a further deterioration in the debt burden indicators.

16. The elevated solvency indicators are also mitigated somewhat by relatively high remittances, and the likely downward-impact of an upcoming GDP rebasing. Gross worker's remittances are large (9.7 percent of GDP) and relatively reliable, and constitute an important additional source of FX revenue. Furthermore, an upcoming rebasing of GDP, which will incorporate a greater share of activity and which the authorities expect to complete later this year, is likely to result in a reduction in the ratio of total and external debt-to-GDP, although the magnitude of this change is uncertain.

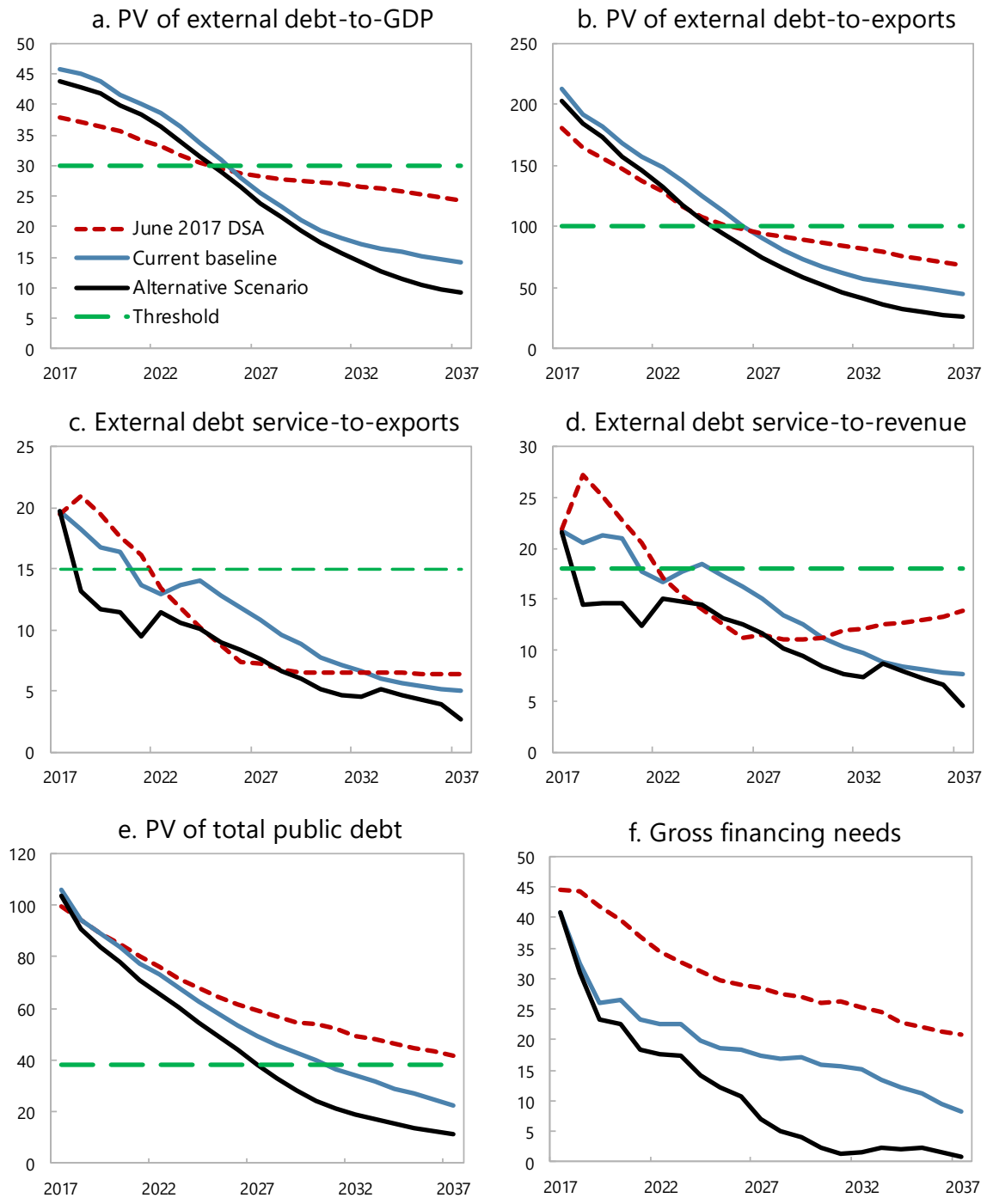
17. Under the 'alternative scenario, debt vulnerabilities could be significantly reduced (Figures 4 and 5). The debt service indicators would immediately fall below their relevant thresholds, and remain at manageable levels throughout the projection period. The initial PV of external debt would also fall (by 2 percent of GDP), although the pace of external debt reduction would remain similar to the baseline. However, The PV of total public debt (Figure 5) would be reduced more rapidly, and the reduction of domestic debt in the early years would reduce gross financing needs further (Figure 1).

18. Based on the external debt burden indicators, the current DSA finds that The Gambia is at 'high' risk of external debt distress. All external debt burden indicators breach their thresholds for an extended period, indicating that risks will remain elevated for some time. However, debt service indicators have improved, and the level of grant support in place has increased.

19. There are also significant risks stemming from domestic debt, and overall public debt sustainability is on a "knife edge". The overall level of public debt is expected to remain high throughout the projection period, and rollover risks associated with the short maturity of domestic debt are significant. As a result, in the near-term even small shocks could leave Gambia unable to meet its financing needs and/or put debt on an unsustainable path. Space for any new borrowing is very limited, and would need to be on highly concessional terms and reserved for the very highest priority projects for which grant-financing is not available. The government should carefully contain

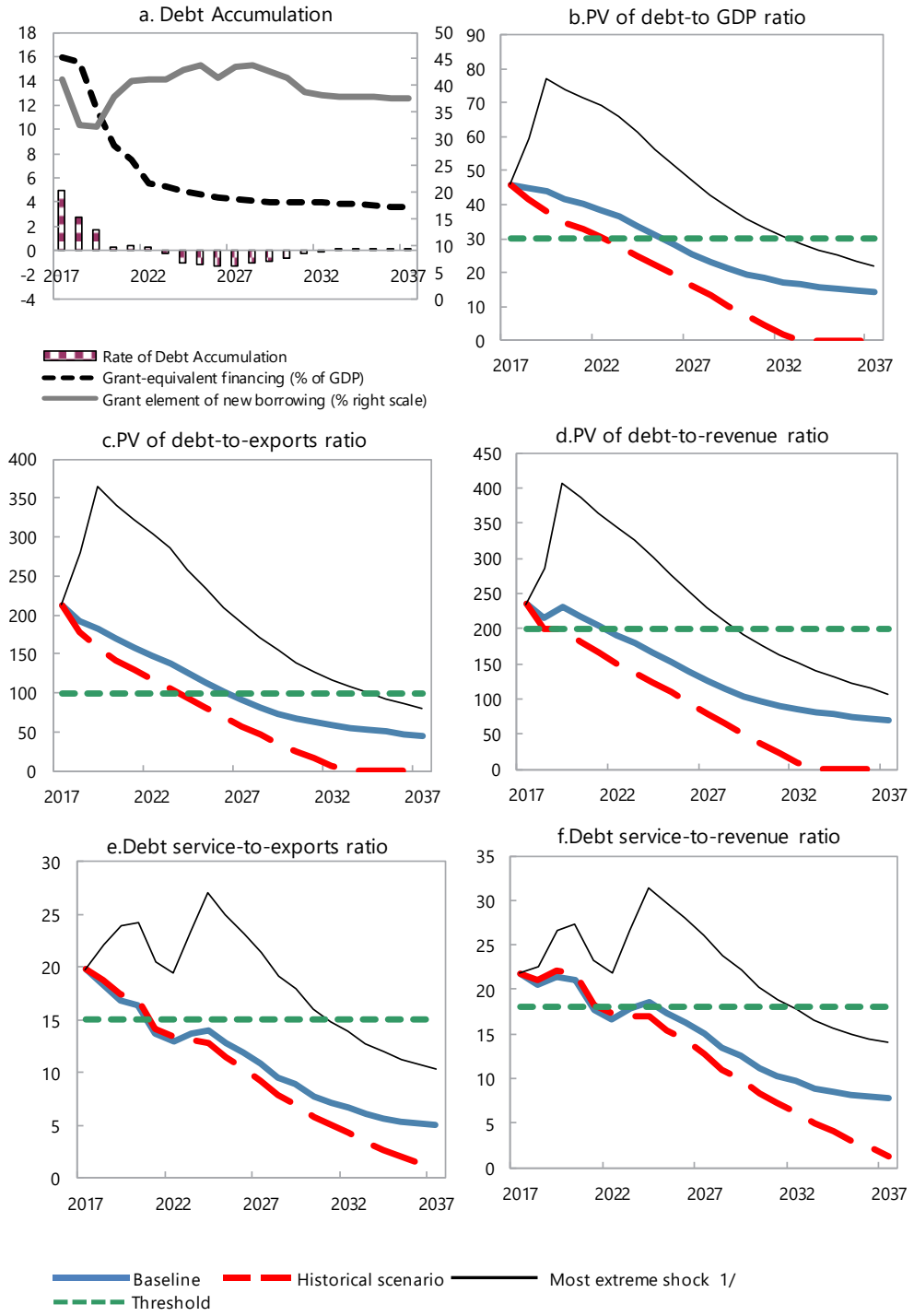
fiscal risks and refrain from contracting any large guarantees that add to an already high level of public and publicly guaranteed debt.

Figure 1. The Gambia: External and Public Debt Sustainability Indicators in the Updated Baseline Scenario, Alternative Scenario, and the June 2017 Baseline



Sources: Country authorities; and staff estimates and projections.

Figure 2. The Gambia: Indicators of Public- and Publicly-Guaranteed External Debt under Baseline Scenario and Stress Tests, 2017-37[1]



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2027. In figure b. it corresponds to a Combination shock; in c. to a Combination shock; in d. to a Combination shock; in e. to a Combination shock; and in figure f. to a Combination shock

Table 1. The Gambia: External Debt Sustainability Framework, Baseline Scenario, 2017-37[1]

(Percent of GDP, unless otherwise indicated)

	Actual			Historical 6/ Average	Standard 6/ Deviation	Projections									
	2014	2015	2016			2017	2018	2019	2020	2021	2022	2017-2022 Average	2027	2037	2023-2037 Average
External debt (nominal) 1/	**61.5**	**55.5**	**60.4**			**66.7**	**66.3**	**65.5**	**64.6**	**63.8**	**63.0**		**48.6**	**30.5**	
of which: public and publicly guaranteed (PPG)	58.4	51.4	56.6			63.2	62.1	60.1	57.6	55.3	53.2		35.5	20.2	
Change in external debt	5.4	-6.0	4.9			6.3	-0.4	-0.9	-0.9	-0.8	-0.8		-3.3	-1.2	
Identified net debt-creating flows	6.1	2.8	-2.9			4.0	6.2	4.4	1.6	0.1	0.6		1.3	5.9	
Non-interest current account deficit	**10.2**	**14.1**	**8.1**	**10.5**	**2.9**	**13.5**	**17.7**	**16.2**	**13.4**	**12.5**	**13.4**		**13.5**	**16.8**	14.6
Deficit in balance of goods and services	19.3	25.7	17.9			27.8	31.9	29.5	26.2	24.9	23.8		23.9	26.4	
Exports	29.2	24.7	24.0			21.6	23.5	24.0	24.7	25.4	26.0		28.3	31.4	
Imports	48.5	50.4	41.9			49.3	55.3	53.5	50.9	50.3	49.9		52.2	57.8	
Net current transfers (negative = inflow)	-11.3	-13.9	-11.9	-8.4	3.1	-16.3	-16.1	-15.1	-14.3	-14.2	-12.3		-12.1	-11.4	-11.9
of which: official	-2.3	-1.9	-0.8			-5.2	-5.2	-4.3	-3.7	-3.7	-1.9		-2.2	-1.8	
Other current account flows (negative = net inflow)	2.2	2.2	2.1			2.1	1.9	1.8	1.5	1.7	1.9		1.6	1.8	
Net FDI (negative = inflow)	**-9.2**	**-8.2**	**-7.5**	**-8.7**	**1.4**	**-8.3**	**-8.9**	**-9.3**	**-9.8**	**-10.2**	**-10.6**		**-10.3**	**-9.7**	-10.1
Endogenous debt dynamics 2/	**5.1**	**-3.0**	**-3.4**			**-1.3**	**-2.6**	**-2.4**	**-2.0**	**-2.2**	**-2.2**		**-1.9**	**-1.3**	
Contribution from nominal interest rate	0.7	1.0	0.7			0.7	0.8	0.8	1.1	0.8	0.7		0.5	0.2	
Contribution from real GDP growth	-0.5	-2.5	-1.1			-2.0	-3.4	-3.2	-3.0	-2.9	-2.9		-2.4	-1.5	
Contribution from price and exchange rate changes	5.0	-1.6	-3.0			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-0.7**	**-8.8**	**7.8**			**2.3**	**-6.6**	**-5.2**	**-2.5**	**-0.9**	**-1.4**		**-4.6**	**-7.1**	
of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	46.1			49.3	49.3	49.1	48.7	48.6	48.4		38.6	24.4	
In percent of exports	...	...	192.3			228.7	209.9	204.7	197.2	191.5	185.9		136.2	77.6	
PV of PPG external debt	**...**	**...**	**42.3**			**45.8**	**45.0**	**43.8**	**41.7**	**40.0**	**38.6**		**25.5**	**14.1**	
In percent of exports	**...**	**...**	**176.4**			**212.6**	**191.9**	**182.5**	**168.7**	**157.7**	**148.1**		**90.1**	**45.0**	
In percent of government revenues	**...**	**...**	**230.5**			**234.2**	**215.6**	**231.5**	**217.2**	**203.4**	**190.8**		**125.0**	**69.5**	
Debt service-to-exports ratio (in percent)	**14.2**	**14.7**	**10.7**			**19.8**	**18.3**	**16.8**	**16.4**	**13.7**	**13.0**		**10.8**	**5.0**	
PPG debt service-to-exports ratio (in percent)	**14.2**	**14.7**	**10.7**			**19.8**	**18.3**	**16.8**	**16.4**	**13.7**	**13.0**		**10.8**	**5.0**	
PPG debt service-to-revenue ratio (in percent)	**22.5**	**18.4**	**14.0**			**21.8**	**20.5**	**21.3**	**21.0**	**17.7**	**16.7**		**15.0**	**7.7**	
Total gross financing need (Millions of U.S. dollars)	79.4	110.0	66.1			133.2	176.9	171.9	155.3	161.0	195.0		322.8	547.3	
Non-interest current account deficit that stabilizes debt ratio	4.8	20.1	3.1			7.2	18.1	17.0	14.2	13.2	14.2		16.8	18.0	
Key macroeconomic assumptions															
Real GDP growth (in percent)	0.9	4.3	2.2	3.6	3.3	3.5	5.4	5.2	4.9	4.8	4.8	4.8	4.8	4.8	4.8
GDP deflator in US dollar terms (change in percent)	-8.1	2.7	5.8	0.8	9.6	1.1	1.9	1.6	0.9	0.5	0.4	1.1	0.4	0.4	0.4
Effective interest rate (percent) 5/	1.1	1.8	1.4	1.7	0.3	1.3	1.3	1.2	1.8	1.2	1.2	1.3	0.9	0.7	0.8
Growth of exports of G&S (US dollar terms, in percent)	-7.7	-9.5	5.0	0.7	8.0	-6.0	16.9	9.3	9.0	8.2	8.0	7.6	6.3	6.4	6.5
Growth of imports of G&S (US dollar terms, in percent)	9.2	11.3	-10.2	3.1	9.3	23.2	20.5	3.2	0.9	4.0	4.4	9.4	6.3	6.3	6.2
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	41.2	32.6	32.3	37.8	40.8	41.2	37.7	43.4	37.6	40.4
Government revenues (excluding grants, in percent of GDP)	18.5	19.7	18.4			19.6	20.9	18.9	19.2	19.7	20.2		20.4	20.3	20.3
Aid flows (in Millions of US dollars) 7/	65.4	79.9	31.6			175.3	161.1	130.8	113.7	106.7	84.6		83.8	135.0	
of which: Grants	30.8	16.7	16.2			112.0	143.3	116.3	89.8	80.5	58.3		66.0	84.5	
of which: Concessional loans	34.7	63.2	15.4			63.3	17.8	14.5	23.9	26.2	26.3		17.8	50.6	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			16.0	15.5	11.7	8.7	7.5	5.5		4.2	3.6	4.1
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			69.8	76.6	77.1	79.5	79.8	75.9		88.0	76.6	81.7
Memorandum items:															
Nominal GDP (Millions of US dollars)	833.2	892.2	964.6			1009.5	1084.7	1158.9	1226.6	1291.6	1360.2		1749.0	2913.2	
Nominal dollar GDP growth	-7.3	7.1	8.1			4.7	7.5	6.8	5.8	5.3	5.3	5.9	5.2	5.2	5.2
PV of PPG external debt (in Millions of US dollars)			407.5			455.3	483.1	501.0	503.9	508.9	512.2		437.2	403.1	
(PVt-PVt-1)/GDPt-1 (in percent)						5.0	2.8	1.6	0.3	0.4	0.3	1.7	-1.2	0.2	-0.5
Gross workers' remittances (Millions of US dollars)	59.3	93.6	93.5			98.3	105.7	112.9	118.5	124.8	131.3		161.0	261.5	
PV of PPG external debt (in percent of GDP + remittances)	...	...	38.6			41.8	41.0	39.9	38.0	36.5	35.2		23.4	13.0	
PV of PPG external debt (in percent of exports + remittances)	...	...	125.6			146.4	135.6	129.8	121.3	114.2	108.1		68.0	35.0	
Debt service of PPG external debt (in percent of exports + remittance	...	...	7.6			13.6	12.9	11.9	11.8	9.9	9.4		8.2	3.9	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt. Debt values may vary marginally from those in the accompanying staff report due to exchange rate conventions.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Assumes that PV of private sector debt is equivalent to its face value.

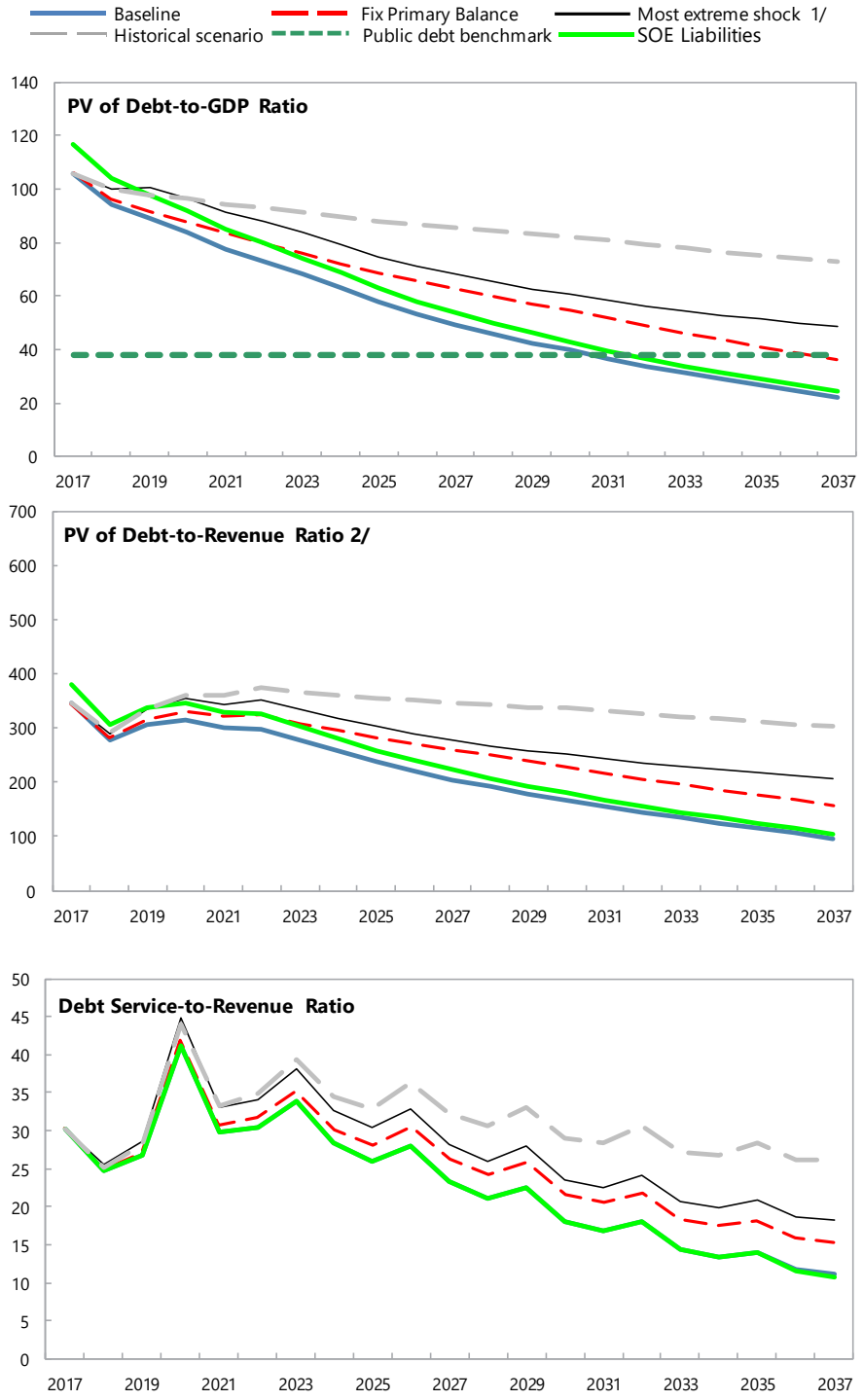
5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Figure 3. The Gambia: Indicators of Public Debt Under Baseline Scenario and Stress Tests, 2017-37[1]



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2027.
2/ Revenues are defined inclusive of grants.

Table 2. The Gambia: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017-37[1]

	Actual					Estimate					Projections				
	2014	2015	2016	Average[5/]	Standard Deviation[5/]	2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	104.9	105.3	118.5			123.3	111.5	105.2	99.6	92.8	87.7		59.5	28.5	
of which: foreign-currency denominated	58.4	51.4	56.6			63.2	62.1	60.1	57.6	55.3	53.2		35.5	20.2	
Change in public sector debt	15.8	0.4	13.1			4.8	-11.8	-6.3	-5.6	-6.8	-5.0		-4.8	-2.4	
Identified debt-creating flows	12.9	-8.7	5.5			-4.4	-11.7	-6.8	-6.1	-6.8	-5.0		-4.8	-2.4	
Primary deficit	4.3	1.2	2.3	1.0	2.6	-0.9	-3.0	-1.7	-2.5	-3.4	-2.2	-2.3	-2.6	-1.3	-2.1
Revenue and grants	22.2	21.6	20.0			30.7	34.1	28.9	26.5	25.9	24.5		24.2	23.2	
of which: grants	3.7	1.9	1.7			11.1	13.2	10.0	7.3	6.2	4.3		3.8	2.9	
Primary (noninterest) expenditure	26.5	22.8	22.4			29.8	31.0	27.2	24.0	22.5	22.3		21.6	22.0	
Automatic debt dynamics	8.6	-9.9	3.1			-3.6	-7.0	-5.0	-3.5	-3.5	-2.8		-2.1	-1.1	
Contribution from interest rate/growth differential	1.5	0.0	1.0			-4.9	-6.9	-5.8	-4.4	-3.4	-3.7		-2.6	-1.3	
of which: contribution from average real interest rate	2.3	4.3	3.2			-0.9	-0.5	-0.3	0.5	1.2	0.5		0.4	0.1	
of which: contribution from real GDP growth	-0.8	-4.3	-2.3			-4.0	-6.3	-5.5	-4.9	-4.6	-4.3		-3.0	-1.4	
Contribution from real exchange rate depreciation	7.1	-9.9	2.2			1.3	-0.1	0.8	0.9	-0.1	0.9		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	-1.7	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	-1.7	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	2.8	9.2	7.7			9.2	-0.1	0.5	0.5	0.0	0.0		0.0	0.0	
Other Sustainability Indicators															
PV of public sector debt	...	...	104.2			105.9	94.4	88.8	83.7	77.5	73.1		49.5	22.4	
of which: foreign-currency denominated	...	...	42.3			45.8	45.0	43.8	41.7	40.0	38.6		25.5	14.1	
of which: external	...	...	42.3			45.8	45.0	43.8	41.7	40.0	38.6		25.5	14.1	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	47.8	52.7	60.8			40.9	32.4	26.0	26.6	23.3	22.6		17.4	8.1	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	520.1			345.2	277.0	306.9	315.8	299.2	298.3		204.7	96.4	
PV of public sector debt-to-revenue ratio (in percent)	...	...	567.6			540.8	452.3	469.9	436.3	394.0	361.6		242.6	110.2	
of which: external 3/	...	...	230.5			234.2	215.6	231.5	217.2	203.4	190.8		125.0	69.5	
Debt service-to-revenue and grants ratio (in percent) 4/	40.5	44.4	46.0			30.2	24.8	26.7	41.2	29.8	30.3		23.4	11.1	
Debt service-to-revenue ratio (in percent) 4/	48.6	48.6	50.2			47.4	40.5	40.9	56.9	39.2	36.8		27.7	12.7	
Primary deficit that stabilizes the debt-to-GDP ratio	-11.5	0.8	-10.8			-5.7	8.7	4.5	3.1	3.5	2.8		2.2	1.1	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	0.9	4.3	2.2	3.6	3.3	3.5	5.4	5.2	4.9	4.8	4.8	4.8	4.8	4.8	4.8
Average nominal interest rate on forex debt (in percent)	1.2	1.9	1.5	1.8	0.4	1.4	1.3	1.3	1.9	1.4	1.4	1.5	1.2	1.0	1.2
Average real interest rate on domestic debt (in percent)	6.9	7.4	5.9	6.7	1.1	-0.8	0.1	1.1	1.7	1.3	1.6	0.8	2.1	2.1	2.1
Real exchange rate depreciation (in percent, + indicates depreciation	13.8	-17.3	4.3	2.2	12.9	2.4	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	6.6	6.4	7.1	5.0	1.5	8.1	5.5	4.8	4.6	4.7	4.6	5.4	4.6	4.6	4.6
Growth of real primary spending (deflated by GDP deflator, in percer	15.9	-10.2	0.3	0.7	6.3	37.8	9.8	-7.8	-7.5	-1.4	3.6	5.7	7.1	4.4	4.8
Grant element of new external borrowing (in percent)	...	...	...	...	...	41.2	32.6	32.3	37.8	40.8	41.2	37.7	43.4	37.6	...

Sources: Country authorities; and staff estimates and projections.

1/ Comprises domestically denominated central government debt, and general government external debt, gross.

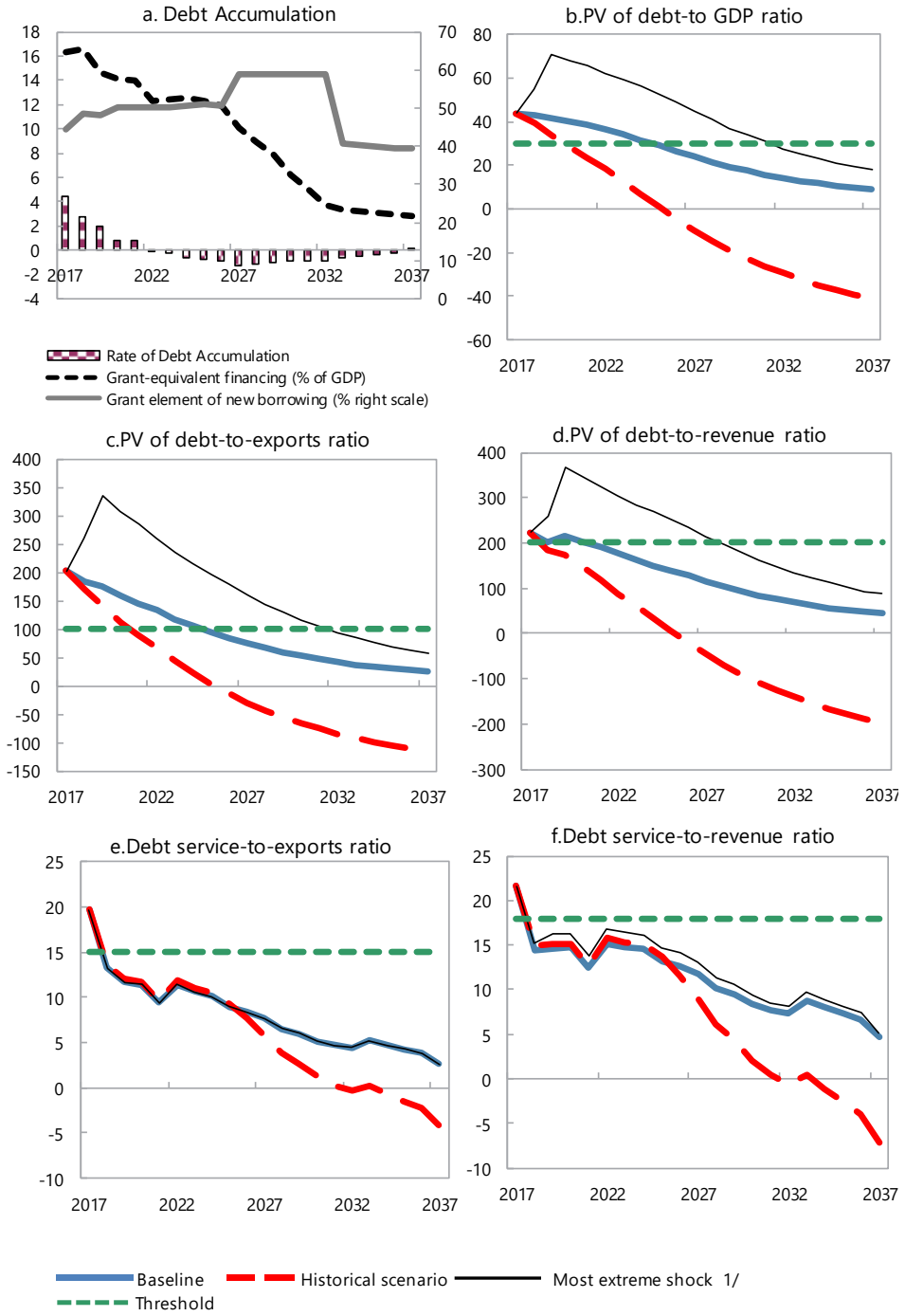
2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Figure 4. The Gambia: Alternative Scenario: Indicators of Public- and Publicly-Guaranteed External Debt Under Alternative Scenario and Stress Tests, 2017-37[1]



Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio on or before 2027. In figure b. it corresponds to a Combination shock; in c. to a Combination shock; in d. to a Combination shock; in e. to a Growth shock; and in figure f. to a Growth shock

Table 3. The Gambia: Alternative Scenario: External Debt Sustainability Framework, 2017–37[1]
(Percent of GDP, unless otherwise indicated)

	Actual			Historical[6/] Average	Standard[6/] Deviation	Projections									
	2014	2015	2016			2017	2018	2019	2020	2021	2022	2017-2022 Average	2027	2037	2023-2037 Average
External debt (nominal) 1/	**61.5**	**55.5**	**60.4**			**66.7**	**67.2**	**67.0**	**66.3**	**65.2**	**63.4**		**47.2**	**22.7**	
of which: public and publicly guaranteed (PPG)	58.4	51.4	56.6			63.2	63.0	61.7	59.4	56.9	54.0		35.1	13.4	
Change in external debt	5.4	-6.0	4.9			6.3	0.5	-0.2	-0.7	-1.1	-1.8		-4.1	-1.0	
Identified net debt-creating flows	6.1	2.8	-2.9			4.1	8.3	9.0	7.0	5.3	5.7		5.7	6.8	
Non-interest current account deficit	**10.2**	**14.1**	**8.1**	**10.5**	**2.9**	**13.6**	**19.9**	**21.7**	**20.2**	**19.2**	**19.7**		**18.5**	**17.8**	18.2
Deficit in balance of goods and services	19.3	25.7	17.9			27.8	34.0	34.8	32.9	31.5	30.0		28.5	26.6	
Exports	29.2	24.7	24.0			21.6	23.2	24.1	25.3	26.3	27.4		32.0	35.9	
Imports	48.5	50.4	41.9			49.4	57.3	58.9	58.2	57.8	57.4		60.5	62.6	
Net current transfers (negative = inflow)	-11.3	-13.9	-11.9	-8.4	3.1	-16.3	-16.1	-15.1	-14.2	-14.1	-12.2		-11.6	-10.5	-11.3
of which: official	-2.3	-1.9	-0.8			-5.2	-5.2	-4.3	-3.6	-3.6	-1.8		-2.0	-1.6	
Other current account flows (negative = net inflow)	2.2	2.2	2.1			2.1	2.0	1.9	1.5	1.8	1.9		1.6	1.6	
Net FDI (negative = inflow)	**-9.2**	**-8.2**	**-7.5**	**-8.7**	**1.4**	**-8.3**	**-8.7**	**-9.6**	**-10.4**	**-10.8**	**-11.0**		**-10.6**	**-10.0**	-10.4
Endogenous debt dynamics 2/	**5.1**	**-3.0**	**-3.4**			**-1.3**	**-2.9**	**-3.0**	**-2.8**	**-3.0**	**-3.0**		**-2.2**	**-1.1**	
Contribution from nominal interest rate	0.7	1.0	0.7			0.7	0.7	0.7	1.0	0.6	0.6		0.3	0.1	
Contribution from real GDP growth	-0.5	-2.5	-1.1			-2.0	-3.6	-3.7	-3.8	-3.7	-3.6		-2.6	-1.2	
Contribution from price and exchange rate changes	5.0	-1.6	-3.0			...	...	...	...	...	...		...	...	
Residual (3-4) 3/	**-0.7**	**-8.8**	**7.8**			**2.2**	**-7.8**	**-9.3**	**-7.7**	**-6.4**	**-7.5**		**-9.8**	**-7.8**	
of which: exceptional financing	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
PV of external debt 4/	...	...	44.4			47.2	47.1	47.1	46.8	46.7	45.8		36.0	18.6	
In percent of exports	...	...	185.2			218.7	202.5	195.6	185.0	177.4	167.2		112.4	51.7	
PV of PPG external debt	**...**	**...**	**40.6**			**43.7**	**42.9**	**41.8**	**39.9**	**38.4**	**36.4**		**23.9**	**9.4**	
In percent of exports	**...**	**...**	**169.3**			**202.7**	**184.4**	**173.7**	**157.7**	**145.8**	**132.7**		**74.6**	**26.1**	
In percent of government revenues	**...**	**...**	**221.2**			**222.5**	**202.0**	**216.9**	**203.2**	**191.4**	**176.4**		**114.1**	**45.4**	
Debt service-to-exports ratio (in percent)	**14.2**	**14.7**	**10.7**			**19.7**	**13.2**	**11.7**	**11.4**	**9.4**	**11.4**		**7.6**	**2.6**	
PPG debt service-to-exports ratio (in percent)	**14.2**	**14.7**	**10.7**			**19.7**	**13.2**	**11.7**	**11.4**	**9.4**	**11.4**		**7.6**	**2.6**	
PPG debt service-to-revenue ratio (in percent)	**22.5**	**18.4**	**14.0**			**21.6**	**14.4**	**14.6**	**14.7**	**12.4**	**15.1**		**11.7**	**4.6**	
Total gross financing need (Millions of U.S. dollars)	79.4	110.0	66.1			134.1	190.2	219.7	220.6	230.9	277.9		407.1	580.6	
Non-interest current account deficit that stabilizes debt ratio	4.8	20.1	3.1			7.3	19.4	21.9	20.9	20.3	21.5		22.6	18.8	
Key macroeconomic assumptions															
Real GDP growth (in percent)	0.9	4.3	2.2	3.6	3.3	3.5	5.8	5.9	6.0	5.9	5.8	5.5	5.3	5.3	5.4
GDP deflator in US dollar terms (change in percent)	-8.1	2.7	5.8	0.8	9.6	1.1	1.9	1.5	0.8	0.4	0.4	1.0	0.4	0.4	0.3
Effective interest rate (percent) 5/	1.1	1.8	1.4	1.7	0.3	1.3	1.2	1.1	1.5	1.0	1.0	1.2	0.7	0.5	0.6
Growth of exports of G&S (US dollar terms, in percent)	-7.7	-9.5	5.0	0.7	8.0	-6.0	16.2	11.3	12.5	10.6	10.5	9.2	7.5	6.7	7.7
Growth of imports of G&S (US dollar terms, in percent)	9.2	11.3	-10.2	3.1	9.3	23.4	25.0	10.5	5.7	5.6	5.5	12.6	5.3	6.1	6.3
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	44.5	48.7	48.0	50.1	50.1	50.2	48.6	58.9	39.3	50.3
Government revenues (excluding grants, in percent of GDP)	18.5	19.7	18.4			19.6	21.2	19.3	19.7	20.1	20.6		20.9	20.6	20.8
Aid flows (in Millions of US dollars) 7/	65.4	80.0	31.6			214.3	219.8	202.7	198.1	205.1	191.7		188.9	113.7	
of which: Grants	30.8	16.7	16.2			112.0	143.3	143.1	154.7	168.0	155.7		188.9	79.9	
of which: Concessional loans	34.7	63.3	15.4			102.3	76.5	59.6	43.4	37.1	36.0		0.0	33.7	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			16.3	16.6	14.7	14.1	14.0	12.3		10.1	2.9	7.1
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			71.4	82.1	84.7	89.1	91.0	90.7		100.0	82.0	93.0
Memorandum items:															
Nominal GDP (Millions of US dollars)	833.2	892.2	964.6			1009.5	1088.5	1170.2	1251.0	1330.2	1413.4		1876.2	3254.5	
Nominal dollar GDP growth	-7.3	7.1	8.1			4.7	7.8	7.5	6.9	6.3	6.3	6.6	5.7	5.7	5.7
PV of PPG external debt (in Millions of US dollars)			391.0			434.1	461.7	482.9	492.7	502.8	501.8		438.6	298.4	
(PVt-PVt-1)/GDPt-1 (in percent)						4.5	2.7	1.9	0.8	0.8	-0.1	1.8	-1.3	0.1	-0.7
Gross workers' remittances (Millions of US dollars)	59.3	93.6	93.5			98.3	106.0	114.0	120.8	128.5	136.4		167.3	271.7	
PV of PPG external debt (in percent of GDP + remittances)	...	...	37.0			39.8	39.1	38.1	36.4	35.0	33.2		21.9	8.6	
PV of PPG external debt (in percent of exports + remittances)	...	...	120.6			139.6	129.9	123.6	114.2	106.7	98.1		58.3	21.1	
Debt service of PPG external debt (in percent of exports + remittance	...	...	7.6			13.6	9.3	8.3	8.2	6.9	8.4		6.0	2.1	

Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt. Debt values may vary marginally from those in the accompanying staff report due to exchange rate conventions.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Assumes that PV of private sector debt is equivalent to its face value.

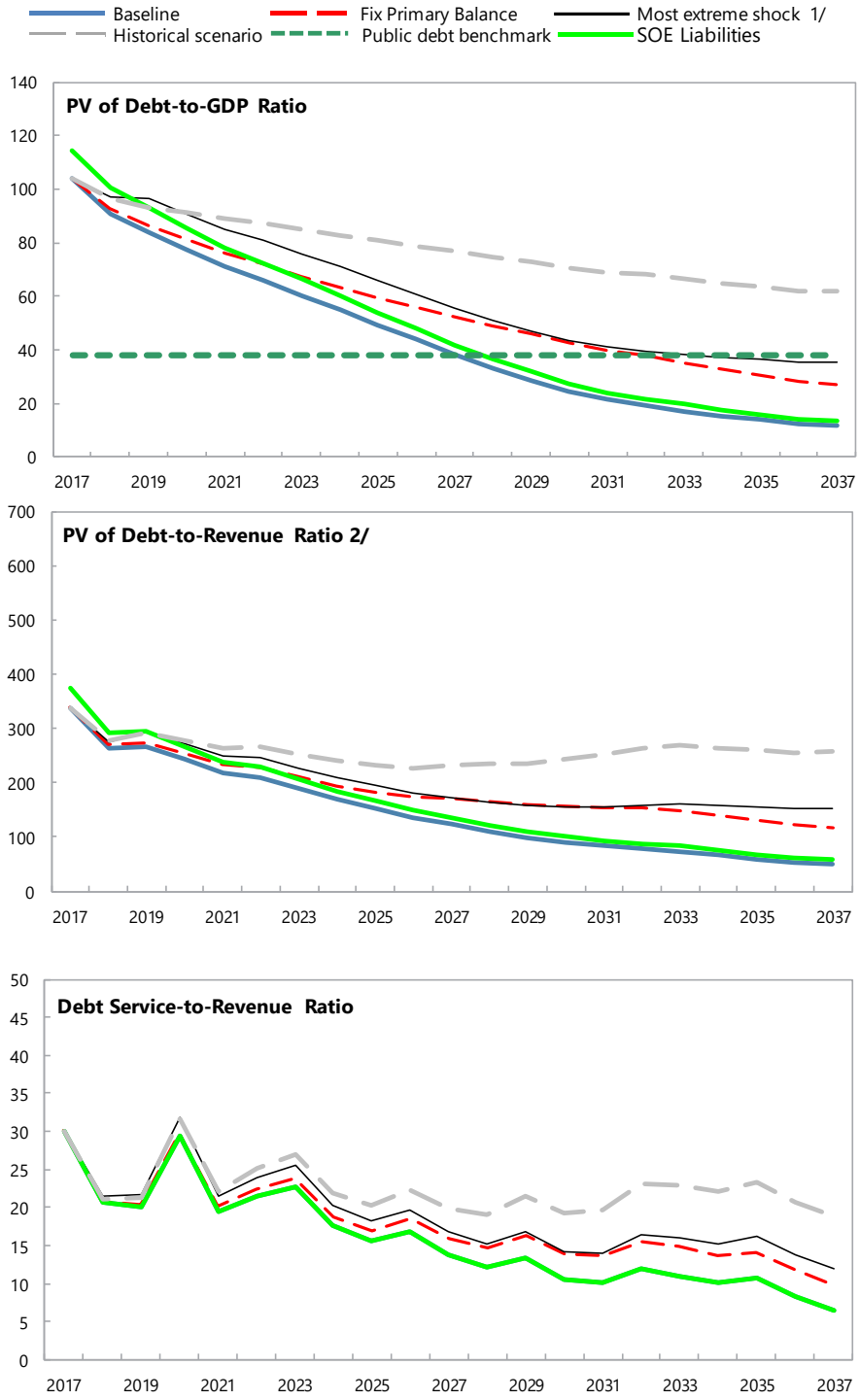
5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

Figure 5. The Gambia: Indicators of Public Debt Under Alternative Scenario and Stress Tests, 2017-37[1]



Sources: Country authorities; and staff estimates and projections.
1/ The most extreme stress test is the test that yields the highest ratio on or before 2027.
2/ Revenues are defined inclusive of grants.

Table 4. The Gambia: Public Sector Debt Sustainability Framework, Alternative Scenario, 2017-37[1]

	Actual					Estimate			Projections						
	2014	2015	2016	Average[5/]	Standard Deviation[5/]	2017	2018	2019	2020	2021	2022	2017-22 Average	2027	2037	2023-37 Average
Public sector debt 1/	104.9	105.3	118.5			123.3	110.9	103.9	97.1	89.5	83.5		49.3	15.6	
of which: foreign-currency denominated	58.4	51.4	56.6			63.2	63.0	61.7	59.4	56.9	54.0		35.1	13.4	
Change in public sector debt	15.8	0.4	13.1			4.8	-12.3	-7.0	-6.9	-7.6	-5.9		-7.3	-0.9	
Identified debt-creating flows	12.9	-8.7	5.5			-4.4	-12.3	-7.5	-7.3	-7.8	-5.9		-7.3	-1.5	
Primary deficit	4.3	1.2	2.3	1.0	2.6	-0.8	-3.0	-1.6	-2.6	-3.3	-2.3	-2.3	-4.8	-0.9	-2.7
Revenue and grants	22.2	21.6	20.0			30.7	34.4	31.5	32.0	32.7	31.6		31.0	23.1	
of which: grants	3.7	1.9	1.7			11.1	13.2	12.2	12.4	12.6	11.0		10.1	2.5	
Primary (noninterest) expenditure	26.5	22.8	22.4			29.9	31.3	29.9	29.4	29.4	29.4		26.1	22.2	
Automatic debt dynamics	8.6	-9.9	3.1			-3.6	-7.5	-5.9	-4.7	-4.5	-3.7		-2.5	-0.7	
Contribution from interest rate/growth differential	1.5	0.0	1.0			-4.9	-7.4	-6.7	-5.7	-4.5	-4.7		-2.9	-0.8	
of which: contribution from average real interest rate	2.3	4.3	3.2			-0.9	-0.7	-0.6	0.2	0.9	0.3		0.0	0.0	
of which: contribution from real GDP growth	-0.8	-4.3	-2.3			-4.0	-6.8	-6.2	-5.9	-5.4	-4.9		-2.9	-0.8	
Contribution from real exchange rate depreciation	7.1	-9.9	2.2			1.3	-0.1	0.8	1.0	0.0	1.0		...	...	
Other identified debt-creating flows	0.0	0.0	0.0			0.0	-1.7	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	-1.7	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	2.8	9.2	7.7			9.2	-0.1	0.5	0.5	0.2	0.0		-0.1	0.7	
Other Sustainability Indicators															
PV of public sector debt	...	...	102.5			103.7	90.8	84.0	77.6	70.9	65.9		38.0	11.5	
of which: foreign-currency denominated	...	...	40.6			43.7	42.9	41.8	39.9	38.4	36.4		23.9	9.4	
of which: external	...	...	40.6			43.7	42.9	41.8	39.9	38.4	36.4		23.9	9.4	
PV of contingent liabilities (not included in public sector debt)	...	...	...			...	...	...	...	...	...		...	...	
Gross financing need 2/	47.8	52.7	60.8			40.9	30.9	23.3	22.5	18.3	17.7		7.1	0.9	
PV of public sector debt-to-revenue and grants ratio (in percent)	...	...	511.6			337.5	264.0	266.7	242.4	217.0	208.3		122.8	49.9	
PV of public sector debt-to-revenue ratio (in percent)	...	...	558.3			528.1	427.7	435.9	394.8	353.5	319.7		182.0	55.9	
of which: external 3/	...	...	221.2			222.5	202.0	216.9	203.2	191.4	176.4		114.1	45.4	
Debt service-to-revenue and grants ratio (in percent) 4/	40.5	44.4	46.0			30.1	20.7	20.0	29.3	19.4	21.4		13.9	6.5	
Debt service-to-revenue ratio (in percent) 4/	48.6	48.6	50.2			47.1	33.6	32.8	47.8	31.6	32.9		20.5	7.3	
Primary deficit that stabilizes the debt-to-GDP ratio	-11.5	0.8	-10.8			-5.6	9.3	5.4	4.3	4.3	3.7		2.5	0.0	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	0.9	4.3	2.2	3.6	3.3	3.5	5.8	5.9	6.0	5.9	5.8	5.5	5.3	5.3	5.4
Average nominal interest rate on forex debt (in percent)	1.2	1.9	1.5	1.8	0.4	1.3	1.2	1.2	1.7	1.1	1.1	1.3	0.9	0.8	0.9
Average real interest rate on domestic debt (in percent)	6.9	7.4	5.9	6.7	1.1	-0.8	0.0	0.9	1.5	1.1	1.6	0.7	1.1	3.8	1.9
Real exchange rate depreciation (in percent, + indicates depreciation	13.8	-17.3	4.3	2.2	12.9	2.4	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	6.6	6.4	7.1	5.0	1.5	8.1	5.5	4.8	4.6	4.6	4.5	5.3	4.6	4.6	4.6
Growth of real primary spending (deflated by GDP deflator, in percer	15.9	-10.2	0.3	0.7	6.3	38.3	10.9	0.9	4.5	5.9	5.7	11.0	-2.9	5.0	3.4
Grant element of new external borrowing (in percent)	...	...	...	...	...	44.5	48.7	48.0	50.1	50.1	50.2	48.6	58.9	39.3	...

Sources: Country authorities; and staff estimates and projections.

1/ Comprises domestically denominated central government debt, and general government external debt, gross.

2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.